RESEARCH STUDY · IT SERVICES AND AI

Where Did the AI Productivity Go?

In 2026 the media describes an AI revolution in productivity. Four IT services companies with 1.57 million people published their reports. One simple ratio, revenue per person, shows how much of that revolution is visible in their numbers.

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https://serhii.korsunenko.com/articles/ai-productivity-it-services/

Revenue per person, 2 years	Revenue per person, 2 years	Revenue per person, 2 years	Revenue per person, 2 years
+0.8%	**+1.5%**	**+3.8%**	**+8.1%**
Infosys	EPAM	Cognizant	Accenture

Summary

In 2026, the media tells a clear story about AI. Model makers prepare record stock market listings. Executives say AI will soon do most of the work of software engineers. IT services companies report fast-growing "AI-native" revenue.

This study tests that story against the published reports of four listed IT services companies: EPAM, Infosys, Cognizant and Accenture. It compares the same period two years apart (mid-2024 and mid-2026). It uses one simple measure: **revenue per person**. If AI makes the people of these companies much more productive, this number must rise.

Results:

1. **Revenue per person grew slowly or not at all.** Over two years, in nominal dollars:
   - Infosys: +0.8%;
   - EPAM: +1.5%;
   - Cognizant: about +4%;
   - Accenture: +8.1%.
2. **Headcount grew at all four companies,** from +4% to +20%. None of the reports shows AI replacing people at company level.
3. **The two companies that publish an "AI revenue" share show the smallest gain per person.** EPAM's AI-native revenue is 13% of revenue and Infosys's AI revenue is 10.5%. Both companies show almost

no gain per person. A revenue label is not the same as a productivity result.

4. **The two companies with a gain per person got most of their margin gain from overhead, not from delivery.** At Accenture and Cognizant, the gross margin fell. Sales and administrative costs fell as a share of revenue.
5. **Clients get a large part of the AI gain.** Three of the four companies speak about pricing pressure or about passing AI productivity to clients.

This is not a criticism of any company. The study shows where the value of a new technology goes in its first years. In 2026, the reports show this value at the model makers (as revenue) and at the clients (as lower prices). They show it at the IT services vendors only where those vendors sell results, not hours.

The study also tests the author's hypothesis: when software gets cheaper to make, clients get more software for the same money, if they need it (section 6a).

- **Supports it:** Accenture.
- **Goes against it, for now:** Infosys, where clients take the saving as lower prices.
- **Not clear:** the data for EPAM and Cognizant.

1. The question

Two stories about AI appear in the news in 2026.

Story 1: a revolution in productivity.

- In January 2026, the chief executive of Anthropic said that AI models could do "most, maybe all" of the tasks of software engineers within 6 to 12 months.
- Anthropic's IPO filing (S-1, October 26, 2026) reports first-half 2026 revenue of about $16.3 billion. In the same half of 2025, it was about $1.2 billion.
- OpenAI filed confidentially for its own listing.
- IT services companies report AI revenue that grows 29% in one quarter (Infosys) and AI-native revenue of more than $185 million per quarter (EPAM).

Story 2: the numbers in the quarterly reports. IT services companies sell the work of people. If AI makes each person much more productive, one of two things must happen. Either the company earns more revenue per person, or it needs fewer people for the same revenue. Both effects are visible in a simple ratio: **revenue ÷ people**.

This study asks one question: **two years into the AI wave, does revenue per person at IT services companies show the productivity jump that the media describes?**

2. Method

Companies.

- EPAM, Infosys, Cognizant and Accenture.
- Together they employ about 1.57 million people.
- They cover the main business models: nearshore engineering (EPAM), offshore IT services (Infosys, Cognizant), and global consulting and managed services (Accenture).

Period.

- The same calendar quarter, two years apart:
  - EPAM: Q3 2024 and Q3 2026;
  - Infosys: Q2 FY25 and Q2 FY27;
  - Cognizant: Q3 2024 and Q3 2026.
  - All three are July–September.
- Accenture publishes full results by fiscal year (September–August), so the study compares FY2024 and FY2026.

Sources.

- Only primary documents: press releases filed with the US SEC (8-K, 6-K), company fact sheets and earnings-call transcripts.
- Headcount values that come from secondary sources are marked.

Measures (all calculated by the author):

MEASURE	FORMULA
Revenue per person	quarterly revenue × 4 ÷ average headcount (start and end of the quarter); for Accenture, annual revenue ÷ average headcount (start and end of the year)
Delivery cost per person	cost of revenue on the same basis
Operating profit per person	adjusted (non-GAAP) operating income on the same basis
AI disclosure	what each company publishes about AI, in its own words

Adjustments.

- **EPAM:** the Q3 2024 figures exclude a one-time Polish R&D tax benefit for earlier periods ($19.4 million non-GAAP).
- **Cognizant:** Q3 2024 contains only about one month of Belcan, an acquisition with over $800 million of annual revenue. The study adds an estimated $133 million to make the two quarters comparable.
- **People:**
  - EPAM: delivery professionals, as the company reports them;
  - the other three: total headcount.

All values are in nominal US dollars.

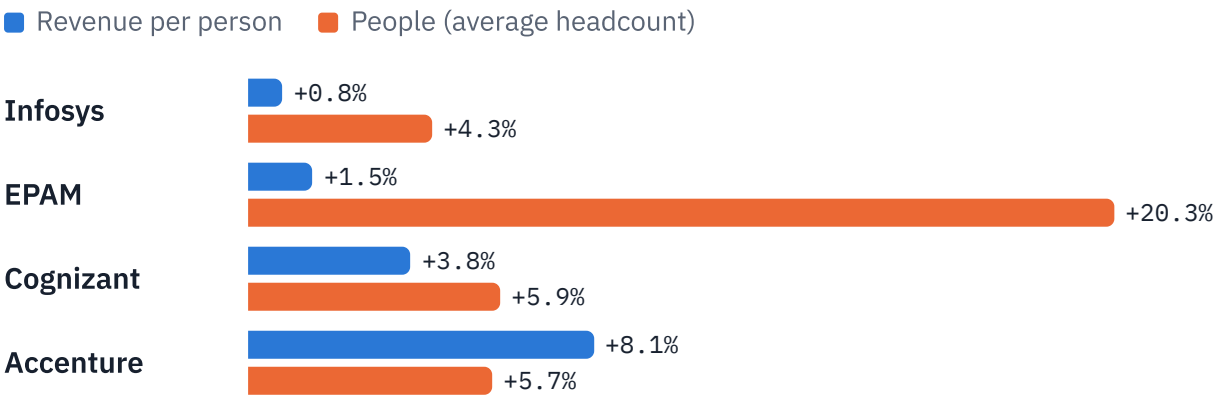
3. Results

TWO YEARS	EPAM	INFOSYS	COGNIZANT	ACCENTURE
Period	Q3 2024 → Q3 2026	Q2 FY25 → Q2 FY27	Q3 2024 → Q3 2026	FY2024 → FY2026
Revenue	+22.2%	+5.1%	+12.3%	+14.3%
People (average)	+20.3%	+4.3%	+5.9%	+5.7%
Revenue per person	**+1.5%**	**+0.8%**	**about +4%** (+6.0% without the Belcan adjustment)	**+8.1%**
Revenue per person, $k per year (2026)	100.1	62.3	63.2	93.1
Delivery cost per person	+1.4%	0.0%	+6.9%	+9.0%
Adjusted operating profit per person	−2.7%	+0.1%	+13.0%*	+10.4%
Adjusted operating margin	17.4% → 16.7%	21.1% → 21.0%	15.3% → 16.3%	15.5% → 15.8%
Gross margin	32.7% → 32.8%	30.5% → 31.1%	34.4% → 33.8%	32.6% → 32.0%
What the company publishes about AI	AI-native revenue: 13% of revenue	AI revenue: 10.5% of revenue	over 50% of code AI-assisted	about 110,000 AI and data staff (13.5% of people)
Pricing comment from management	"price improvement in 2026"	"pricing pressure"; expected price rise "has not materialized"	outcome-based pricing, "AI-infused rate cards"	pricing "overall stable", but "lower pricing in many areas" in Q4

* Before the Belcan adjustment.

People grew. Revenue per person did not keep up.

Change over two years, nominal US dollars. Cognizant adjusted for the Belcan acquisition; EPAM counts delivery staff.



Source: company filings; calculations by the author.

A simple test

Suppose AI-native work earns twice as much revenue per person as other work. Then a company where this work is 13% of revenue would show about **+7%** more revenue per person than before. The formula is 1 ÷ (0.87 + 0.13 ÷ 2). With Infosys's 10.5%, the result is about **+5.5%**. The real changes are +1.5% and +0.8%.

4. Five findings

Finding 1: No productivity jump at company level

None of the four companies shows a large rise in revenue per person. Accenture shows the most, +8.1% in two years. Management says it is "in part due to AI, but we're also in growth mode". The other three show between +0.8% and about +4%. These are nominal values. Over two years, prices in the economy also rose.

Finding 2: Headcount still grows

Every company had more people in 2026 than in 2024.

- **EPAM's CFO:** "to grow revenue, ... we do need to add headcount".
- **An analyst on Accenture's call:** "I thought with agentic we'd be probably decreasing headcount." In fact, headcount had grown 5%.
- **Accenture:** it expects to hire "at a lower rate in part due to AI".

The change, where it exists, is in the speed of hiring, not in the direction.

Finding 3: The AI label and the productivity result are different things

The two companies that publish an AI revenue share have the smallest gain per person. The two companies with the largest gain per person do not publish one. This does not mean that AI work has no value. It means that "AI revenue" counts the type of project, not the hours saved. Projects with an AI label can still be billed per person and per hour.

Finding 4: Where profit per person grew, overhead explains most of it

At Accenture and Cognizant, adjusted operating profit per person grew by 10–13%. But their gross margin fell (−0.6 points each), and delivery cost per person grew faster than revenue per person. The operating margin grew because sales, general and administrative costs fell as a share of revenue. The reports show that AI did not make delivery cheaper per person, but the companies' overhead became more efficient. A part of that may also come from AI tools.

Finding 5: Clients ask for the AI gain

- **Infosys:** clients want AI productivity passed through to them. The CFO said the price increase expected at the start of the year "has not materialized". Utilization without trainees fell from 84.3% to 81.9%.
- **Accenture:** the CEO said "we are definitely giving more productivity due to AI", and noted "lower pricing in many areas" in the last quarter.
- **EPAM:** the only exception. It reported "price improvement in 2026", but its revenue per person stayed flat.

5. Media claims and the reports

CLAIM IN THE MEDIA, 2026	WHAT THE FOUR REPORTS SHOW	STATUS
AI will do "most, maybe all" of software engineers' tasks within 6–12 months (January 2026)	Ten months later, headcount at all four companies is higher than two years before	Not visible yet
AI makes engineers many times more productive	Company-wide revenue per person: +0.8% to +8.1% in two years. One Cognizant client project reports throughput "up roughly a third" and "37 percent net cost saving"	Visible in single projects, not in company totals
AI-native revenue shows the AI boom	AI revenue grows fast (Infosys +29% in one quarter), but company revenue per person stays flat	Growth of a category, not of productivity
Agentic AI will cut headcount in IT services	Headcount +4% to +20%; hiring slows at Accenture "in part due to AI"	Slower hiring, no cuts
The AI economy is booming (model makers' revenue)	Anthropic's half-year revenue grew about 14 times in one year. The four services companies grew 5% to 22% in two years	The money is visible at the model makers

6. Possible explanations

The public numbers cannot prove any single explanation. They are consistent with these:

1. **The taxi meter.** Most IT services work is paid by the hour or by the person. If an engineer finishes faster, the client pays for fewer hours. The productivity gain goes to the client, and the vendor's revenue per person does not change. Accenture, where over 65% of bookings are fixed price (including outcome-based), shows the largest gain per person. This supports the explanation, but four companies are not enough to prove it.
2. **Price competition.** If all vendors use the same AI tools, none can keep the saving. Competition passes it to clients as lower prices (Infosys, Accenture).

3. **Investment phase.** The companies hire AI specialists and train their staff. Accenture reports 46 million training hours in FY2026. These costs come before the benefits.
4. **Mix and acquisitions.** Each company bought businesses in the period (for example, EPAM bought NEORIS, Cognizant bought Belcan, and Accenture made $4.9 billion of acquisitions in FY2026). Acquired businesses change the average.
5. **Time lag.** Earlier technology waves (cloud, offshore delivery) took years to change company-level numbers. Two years can be too short.
6. **More code for the same money.** See the next section.

6a. Hypothesis: clients get more software for the same money

The hypothesis (the author's). If the time to make software falls steadily, clients do not necessarily pay less. They get more software for the same money, provided they need it. In 1865, William Stanley Jevons described the same effect for coal: more efficient steam engines did not reduce coal use, they increased it.

What the hypothesis predicts.

- If it holds, vendor revenue per person stays flat. The vendor sells the same hours, and each hour produces more software.
- This also matches the main result of this study. So flat revenue per person alone cannot tell the hypothesis from its opposite, "clients take the saving as lower prices".

The two cases differ in other numbers:

INDICATOR	IF CLIENTS BUY MORE SOFTWARE (HYPOTHESIS)	IF CLIENTS TAKE A LOWER PRICE
Price per hour or per project	stable	falls, mainly on renewed contracts
Utilization of staff	stable or higher	lower
New bookings compared with revenue	stable or higher	lower
Revenue growth and guidance	stable or higher	lower
Management statements	"more scope", "new kinds of work"	"pricing pressure", productivity "passed through"

What the four reports show.

COMPANY	PRICE	UTILIZATION	BOOKINGS	MANAGEMENT	READING
Accenture	"overall stable" in FY2026; "lower pricing in many areas" in Q4	"steady" (analyst on the call, not contradicted by management)	bookings ÷ revenue: 1.25 (FY2024) → 1.14 (FY2026)	"giving more productivity due to AI", "offsetting … with new kinds of work, more scope"	**Mostly more software.** Revenue per person +8.1%. Price pressure started in Q4.
Infosys	"pricing pressure"; the expected price rise "has not materialized"	without trainees 84.3% → 81.9%	large-deal value $2.4B (Q2 FY25) → $5.2B (Q2 FY27)	clients want AI productivity passed through; guidance cut to 1–2%	**Mostly lower price now.** The larger deal value can turn into more scope later.
EPAM	"price improvement in 2026"	not in the sources used	not reported	"to grow revenue … we do need to add headcount"	**Unclear.** Higher prices with flat revenue per person mean fewer billed hours per person, or a different mix.
Cognizant	moves to outcome-based pricing and "AI-infused rate cards"	not reported	not checked	one client project: a third more throughput, 37% lower cost	**Not enough data.**

Result. In 2026, the hypothesis is true for part of the market:

- **Supports it:** Accenture. Management says in its own words that more scope offsets AI productivity, and its revenue per person grows.
- **Goes against it:** Infosys. Lower prices and lower utilization show clients taking the saving as a smaller bill, at least for now.

A probable explanation is the type of work:

- **Transformation and AI projects:** the client has a backlog of ideas, so cheaper software means more software.
- **Maintenance and renewals of existing systems:** the client needs the same amount of software, so cheaper software means a lower bill.

The condition "provided they need it" is the key part of the hypothesis.

Limit. No report measures the quantity of software that clients receive. Each column above is an indirect sign, so the test is weak. A strong test needs client data: for the same budget, does the client get more features, systems or releases than two years ago?

7. Limits of this study

- **Four companies.** They are large and listed. Smaller companies, product companies and internal IT departments can show different results.

- **One measure.** Revenue per person mixes productivity, prices, utilization, currency and business mix. It can hide gains that clients receive.
- **Different headcount bases.**
  - EPAM reports delivery staff.
  - The others report total staff.
  - Accenture's average uses only the start and the end of each year.
  - Two of Accenture's year-end values come from data services that cite the 10-K, not from the 10-K directly.
- **Estimates.**
  - The Belcan adjustment (Cognizant) is an estimate based on the company's statements.
  - The EPAM Polish tax adjustment assumes the incentive was earned evenly over three quarters.
- **Currency.**
  - Accenture's FY2026 revenue includes about +2% from exchange rates.
  - Infosys's costs are mostly in Indian rupees.
  - Values are not adjusted for currency.
- **Definitions of "AI revenue" differ** and are not audited. EPAM calls its definition "very, very narrow". Infosys gives no definition in the documents used.
- **Nominal values.** The values are not adjusted for inflation.

8. What to watch next

Five numbers would make the AI effect easier to see. Investors, employees and analysts can ask for them:

1. Revenue and margin per person for AI work compared with the rest of the business.
2. A clear, stable definition of "AI revenue", with history for earlier quarters.
3. The share of revenue from fixed-price and outcome-based contracts.
4. Utilization without trainees, every quarter.
5. The price change on renewed contracts.

If revenue per person at these companies starts to rise clearly while headcount stays flat, the productivity story becomes visible in the reports. Until then, the reports show a technology that is in use everywhere. They also show that the reports cannot yet capture its value at the IT services vendors.

Sources

EPAM

- Q3 2024 and Q3 2026 press releases (November 7, 2024; November 5, 2026), investors.epam.com.

- Q3 2026 earnings call transcript.

Infosys

- Q2 FY25 press release (6-K).
- Q2 FY27 press release (6-K).
- Q2 FY27 earnings call (6-K).
- Fact sheets: Q2 FY25, Q2 FY27.

Cognizant

- Q3 2024 press release (8-K).
- Q3 2026 press release (8-K).
- Belcan acquisition completed.
- Call remarks as reported by CRN Asia.

Accenture

- Q4 FY2024 and Q4 FY2026 earnings releases (September 26, 2024; October 1, 2026).
- Q4 FY2026 conference call transcript.
- All from investor.accenture.com.
- Year-end headcount for FY2023 and FY2025 from stockanalysis.com.

Model makers and media claims

- Anthropic S-1 as reported by TechCrunch and TheWrap.
- The January 2026 claim on software engineers as reported by Windows Central.

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